Decision Memo — NVIDIA (NVDA)

To: Investment Committee (no current position) · **From:** Drew Scheiderer, AI task force **As of:** October 14, 2026 · **Price:** $221.30 · USD; per-share values on 24,514M diluted shares

> Coursework for a learning exercise. Not investment research and not financial advice.

Decision and committee ask

WATCH/DEFER. Do not initiate at $221.30. My FCFF valuation range is **$49–$115 per share, base $79**. No case I can support from NVIDIA's own filings reaches the price. I am not recommending *do not initiate* because NVIDIA is the cheapest of its admitted peers on EV/EBITDA while earning the best margins, and in my base case those earnings keep growing.

Ask: keep NVDA on the watch list. Re-review at the Q3 FY2027 10-Q (quarter ending late October 2026) against the triggers below.

Evidence and as-of date

	Value	Type	Source
H1 FY2027 revenue	177,837 (+95.8% YoY)	fact	10-Q, period 2026-07-26, filed 2026-08-26
H1 FY2027 gross margin	74.96%	fact	same 10-Q
FY2026 revenue / normalised GM	215,938 / 72.92% (reported 71.07% less a 4,000 write-down)	fact / normalisation	10-K, filed 2026-02-25
Cost of equity / WACC	16.27% / 16.25%	estimate	5.19% UST (2026-10-14) + own beta 2.216 × 5% ERP
Base value per share	$79 (EV 1,856,186; terminal value 57% of EV)	model output	`nvidia/analysis.py`
EV/EBITDA, trailing	NVDA 40.3×, AVGO 50.7×, AMD 138.3×	model output	10-K XBRL; 2026-10-14 prices

Bridge: EV 1,856,186 + cash and securities 62,556 + non-marketable equity stakes 22,251 − debt 8,468 = equity 1,932,525 ÷ 24,514M diluted shares = **$78.83**. The FCFE build on the same statements gives $76.06. The two agree because they use the same forecast, so the agreement shows the model's arithmetic is consistent. It doesn't show the inputs are right.

Why the methods disagree, and why I do not average them

The DCF gives $79. AVGO's EV/EBITDA applied to NVIDIA gives about $278. The 3.5× gap is information, not noise:

- **The DCF depends on beta.** NVIDIA is 99.8% equity-funded, so WACC is simply its cost of equity. The reverse DCF shows the price needs a beta of **0.51** (cost of equity 7.74%) on my operating forecast. On my 16.25% discount rate, it needs FY2028–31 growth **45 points above** my path every year.
- **The comps depend on the peers' earnings.** AMD's multiple is inflated by thin margins and acquisition amortisation. With two peers, the multiples show where NVIDIA ranks, not what it is worth.

The DCF sets the range. The comps only decide whether the name stays on watch.

Material assumptions and sensitivities

Case / what-if	Value per share	Action under the rule
Low: AI capex digestion (H2 FY2027 = H1; FY2028 revenue −10%; GM to 65%)	$49	**DO NOT INITIATE**
Base (H1 + flat H2; then 22/16/11/7%; GM 75% → 69%)	$79	WATCH/DEFER
High: sustained build-out (+80%, then 30/20/12/7%; GM 74%; Blume beta 1.815)	$115	WATCH/DEFER
Hyperscaler pause (FY2028 growth 0%)	$67	**DO NOT INITIATE**
Custom-silicon margin compression (GM 65% from FY2029)	$74	**DO NOT INITIATE** (breaks my 67% floor)
Stock compensation treated as a cash cost	$74	WATCH/DEFER
Blume-adjusted beta 1.815	$93	WATCH/DEFER
WACC ±2pp × terminal growth 2–4% grid	$66–$99	—

These are scenarios, not probabilities. The decision is most sensitive to the discount rate, then to FY2028 growth.

Principal risks, failure conditions, and monitoring triggers

Trigger	Threshold	Window	Moves to
Price	NVDA closes at or below base-case value (~$79)	daily	**INITIATE** review
Demand turn	any 10-Q with year-over-year revenue decline	each 10-Q	**DO NOT INITIATE**
Competitive entry	gross margin below 67% (my Lab 11/12 floor)	each 10-Q	**DO NOT INITIATE**
Relative value lost	NVDA EV/EBITDA at or above the lowest admitted peer	each review	**DO NOT INITIATE**
Over-ordering	excess purchase obligations above 12.8% of inventory	each 10-Q	escalate and rerun
Segment deceleration	Compute & Networking growth below the forecast path	each 10-Q	escalate and rerun
Re-underwrite	defensible cost of equity materially below 16%, or peers at 20–30× trailing GAAP P/E	as evidence arrives	rerun valuation
Model integrity	any accounting or bridge check fails	every run	no value reported

Known limitations:

- The forecast is dated from the January 2026 balance sheet. Debt has since risen to 33,366. Rolling the base value forward to today adds about 11%, far short of the price.
- Beta carries the answer.
- Only two peers are admitted.

Action requested and next review point

1. Approve **WATCH/DEFER** with the triggers above.
2. Re-review when the Q3 FY2027 10-Q is filed.
3. My next research priority is the discount rate: a re-estimate of beta on 2-year data and a forward-looking equity risk premium.

Validation, sources and AI use: `docs/validation-and-ai-use.md`. Model and tests: `nvidia/analysis.py`, `nvidia/test_project.py`. Frozen output: `nvidia/visible_output.json`.

AI assistance: analysis and drafting assisted by Claude Code (Claude Opus 5.5) and, in the labs, ChatGPT/Codex; sources gathered and verified by me; the judgments are mine. Any remaining errors are my own.